

The Complete Financial Guide for Young Couples

too much. It always baffles me to counsel a Christian who has purchased an enormous amount of life insurance to protect an estate that is probably far too large anyway. "A man who has labored with wisdom, knowledge, and skill . . . gives his legacy to one who has not labored with them. This too is vanity and a great evil" (Ecclesiastes 2:21).

On the other end of the spectrum are those who have the ability to provide for their families if they die unexpectedly but apparently don't think they ever will. Both examples reflect disobedience to God's principles. As Solomon said, "If a man fathers a hundred children and lives many years, however many they be, but his soul is not satisfied with good things, and he does not even have a proper burial, then I say, 'Better the miscarriage than he' " (Ecclesiastes 6:3).

There are assets and liabilities associated with any kind of insurance. To make good decisions, you must be able to evaluate your needs versus the costs.

● THE ASSETS OF OWNING INSURANCE

First, you can use insurance to provide for contingent liabilities that otherwise could not be met. For instance, most men need the greatest amount of life insurance when they're young, because they have a wife and children at home who probably would not be able to support themselves without a husband and father. So insurance is used to produce the needed income. It is substitute collateral for the wage earner. As Proverbs 27:12 says, "A prudent man sees evil and hides himself, the naive proceed and pay the penalty." So the insured is looking ahead, seeing a potential problem and providing before it occurs.

Second, insurance frees surplus funds. Let's assume that a husband makes \$25,000 a year. If he dies, the family will need a \$25,000 income. Let's further assume that Social Security will provide \$10,000 a year for dependent care. The family is still \$15,000 a year short. Where will the funds come from? It would take approximately \$150,000 in assets, invested at 10 percent, to provide the \$15,000 needed. The funds can be